# How Prediction Markets Turn Into Risk Instruments

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Prediction mkts are entering a new phase, evolving beyond simple question-and-answer wagers into a richer ecosystem built on top of existing platforms. Established venues like @Polymarket, @Kalshi, @opinionlabsxyz, @MyriadMarkets, @trylimitless and others provide a robust foundation for trading event outcomes. Now, an **ideological second layer** is emerging on this foundation – one that leverages the core infrastructure to create novel markets and tools. Among these, **hedging** is highlighted as one of the most powerful future use cases, turning prediction markets into tools not just for speculation but for risk management. Another concept gaining traction is that of **attention markets** (exemplified by projects like @TrendleFi), where participants trade on the rise and fall of online hype rather than just binary outcomes. These attention-driven markets could work in tandem with traditional binary markets, allowing traders to hedge or amplify their positions based on public sentiment flows

Industry thought leaders are already sketching the outlines of this second layer. For example, @AlanaDLevin describes emerging “second-order” opportunities

**Alana Levin** @AlanaDLevin · Sep 17, 2025

Article

**Second-Order Prediction Market Opportunities**

There are now several large and growing prediction market platforms, and a slew of additional platforms set to launch this fall. Market volumes have remained strong throughout the year, refuting...

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built around today’s prediction platforms. Some ideas include *conditional wagers* – essentially parlay bets across multiple events – which are currently tricky to implement because prediction markets lack a centralized “house” to take multi-event bets. Levin envisions third-party services built on top of open markets to offer such combined bets, effectively acting like a

sportsbook house and using underlying market odds to price complex wagers. Another idea is the ability to *bet on traders themselves*: platforms like Polymarket publish leaderboards of top traders by P&L, and one could imagine pooling funds behind these "superforecasters". In this model, your bet is that a particular trader will make good bets – a form of *meta-prediction market*. These examples set the context for a future in which prediction markets enable a stack of derivative activities, signaling a shift toward a more layered, composable market ecosystem

*deep dive on hedging use cases*

Prediction mkts can be particularly powerful for hedging strategies allowing traders and other stakeholders to offset risks by taking positions on event outcomes. In practice, this means using prediction market contracts much like insurance or futures, to guard against undesirable outcomes. Below we explore how hedging use cases might unfold, along with the challenges that must be addressed:

1. Hedging crypto risk on Polymarket/Kalsh/Limitless: traders are already using Polymarket to hedge price movements and event risks in the digital asset space. Polymarket offers markets on questions like "Will Bitcoin be above $X on date Y?"

which effectively function as binary options on crypto prices. A trader holding a lot of Bitcoin could buy "No" shares in a Bitcoin-upside market to protect against a price drop – if the price falls, the prediction market payout compensates some of the loss. Conversely, one could bet "Yes" on adverse events (e.g. regulatory outcomes) to insure against those risks. In practice, sophisticated users even combine Polymarket positions with traditional instruments: for example, buying an event contract on Bitcoin's price and shorting Bitcoin futures to create a near delta-neutral position.

> *"The utility of prediction markets as hedging instruments and disseminators of information in their current form should not be understated. Prediction markets provide a direct mechanism to hedge any discrete event risks (e.g. the timing of ChatGPT's next model release or whether a military action occurs by a specific date) that would otherwise be impossible or difficult to isolate in traditional markets."*
> @ZackPokorny , *Prediction Markets' Next Frontier: Impact and Decision Markets*

This kind of strategy uses the prediction market as a hedge, locking in profits

or reducing volatility regardless of how the crypto market moves.

2. Attention-driven markets as hedges: a novel hedging approach comes from attention markets – platforms that let users trade on the attention or hype surrounding a topic, rather than the direct outcome. Traders can go long or short on these attention indexes, effectively betting on whether hype and engagement will rise or fall. This creates a unique hedging opportunity: one could hedge a binary prediction bet by taking an opposite position in the attention market for that same topic. For example, if you bet “Yes” on a candidate winning an election on Polymarket, you might short the attention index for that candidate, so if public sentiment sours (hype falls), the attention short would profit, offsetting losses on the prediction market position. In essence, attention markets allow hedging of sentiment: you can “hedge on hype” by positioning against overvalued trends or bursts of euphoria providing a safety net if crowd enthusiasm doesn’t translate into the

expected real-world outcome

3. Cross-platform and cross-asset hedging: as multiple prediction platforms grow, opportunities arise to hedge across them or use DeFi protocols to enhance hedging. An example is @gondorfi enables users to borrow against open prediction market positions, unlocking liquidity without closing those bets. This means a trader who has, say, a large amount staked on Polymarket can borrow stablecoins using that position as collateral, and then use the loan to place a counter-bet on another platform or asset. Such a mechanism allows hedging across different markets: one could be long on Polymarket but hedge that exposure by taking a short position on a similar market on another exchange (or vice versa), all while staying capital-efficient. Beyond it, we are seeing early signs of **cross-market arbitrage** – for instance, some platforms (like @opinionlabsxyz) mirror Polymarket's markets, so traders watch for price discrepancies and take offsetting positions on each when odds diverge. These strategies blend hedging with arbitrage, ensuring that if one market's odds move against the trader, the other position gains value to balance it

While these hedging use cases are promising, several challenges need to be addressed for them to truly flourish:

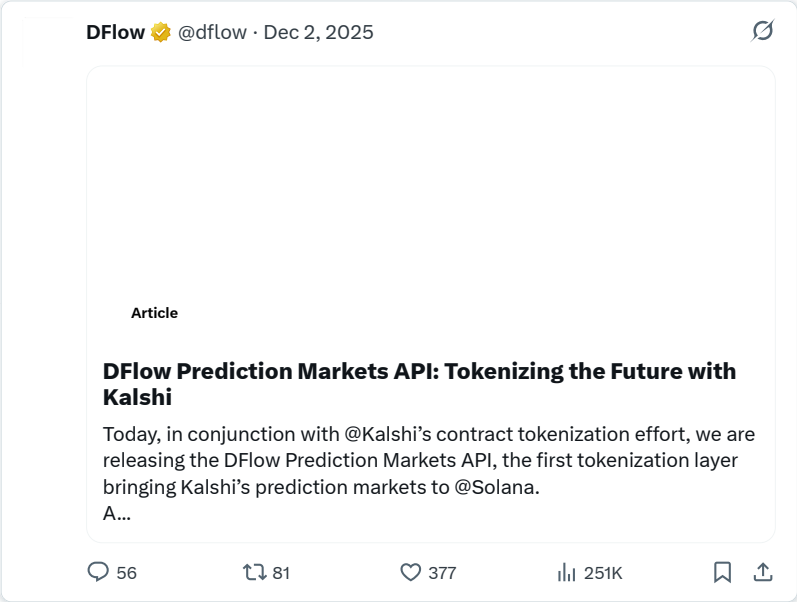
Liquidity fragmentation: the more platforms and markets available (Polymarket, Kalshi, Trendle, etc.), the more dispersed the liquidity. A hedge is only effective if both sides of the bet have sufficient liquidity for entry and exit. Fragmentation can lead to shallow markets, making it hard to execute large hedging trades without moving prices

Hedging often requires timing and precision. When using multiple platforms, traders face execution risk – the chance that you execute one side of the hedge but cannot complete the other at the desired price. Market conditions or technical delays could result in an unbalanced position. Reducing latency and perhaps developing unified interfaces or algorithms to execute hedges simultaneously will be key to mitigating this risk.

User experience barriers: today's prediction market UIs are not optimized for multi-platform strategies. A user trying to hedge with different apps might juggle several accounts, wallets, and interfaces. This complexity raises the likelihood of mistakes and deters all but the most advanced users. For hedging use cases to reach a broad audience, the UX must be simplified potentially through aggregators, terminals, dashboards that let users manage composite positions in one place

@cbventures and @jonathankingvc in its 2026 outlook specifically highlighted *"Trading Terminals for Prediction Markets"* as a key opportunity in this space, anticipating that an aggregator can consolidate the ~$600M+ in fragmented liquidity and provide users a one-stop view of real-time event odds across all venues. The idea is to give prediction market traders a professional, Bloomberg-like experience: imagine a specialized terminal (Coinbase likens it to *Axiom's* trading UI, but for event contracts) that offers all the pro tools in one place. Such a platform would allow a user to see **every market** for a given event across different exchanges, and seamlessly execute trades on the venue with the best price or liquidity

Not all platforms easily plug into one another. True hedging synergy requires that a position on one market can be programmatically linked or reacted to by another. Some prediction markets are on different blockchains or use different token standards, making direct interaction difficult. However, efforts are underway to improve this. For instance, bridging services now tokenize traditionally isolated markets for on-chain use – a recent example being Kalshi's markets made available as on-chain tokens via @dflow's API




All signs point toward the emergence of a second-layer ecosystem built atop today's prediction market platforms. In this vision, the current platforms act as a Layer-1 foundation providing the raw markets, liquidity, and pricing of

events while a new layer of protocols and products composes and extends these primitives. This higher-order layer would introduce structured products, derivative markets, and specialized hedging tools that are analogous to financial derivatives built on stock exchanges. Just as financial engineers create options, indices, and swaps from basic assets, prediction market innovators could create composites of event outcomes or entirely new assets derived from the behavior of primary markets

*what might this second layer include?*

First, we could see structured prediction products such as parlays (such solutions are already being developed in stealth mode) or baskets of outcomes. For example, a "portfolio" bet that pays off only if *multiple* events all go in a certain direction (a form of conditional wager) could be offered by a secondary protocol that uses Polymarket's or Kalshi's underlying markets to hedge each leg of the parlay. We might also get markets on meta-variables – as @AlanaDLevin suggested, one could bet on the overall size or popularity of a market itself (e.g. a contract that pays out based on how many people participate in a given Polymarket question). Additionally, attention-derived derivatives could flourish: beyond the direct attention indexes from platforms like Trendle, there could be options and futures on those attention metrics, allowing more sophisticated hedging and speculation on how narratives evolve. Finally, hedging-focused protocols might automatically manage complex strategies – for instance, a service that dynamically rebalances between a prediction market position and an attention market short based on predetermined risk thresholds

Crucially, the building blocks for this ecosystem are enabled by the tokenization of prediction market positions. Polymarket, for example, mints outcome shares as on-chain tokens (using Ethereum-based standards for conditional tokens). Specifically, each binary outcome ("Yes" or "No") in Polymarket is represented by a distinct token (an erc-1155 token on Polygon) that can be freely held, transferred, or integrated into other smart contracts. This means a second-layer protocol could treat a Polymarket position like any other crypto asset – it could allow you to, say, post a "Yes on Election Outcome" token as collateral for a loan or pool a basket of such tokens to create an index product. The same goes for other platforms: if their positions are represented in a standardized digital form, they become Lego pieces for innovators. Kalshi's recent partnership with DFlow exemplifies this trend. Kalshi, being a regulated event exchange, historically operated in a siloed environment; but DFlow's API tokenizes Kalshi markets into Solana-native SPL tokens for full on-chain composability. Once an event contract is an SPL

token on Solana, it gains the ability to plug into decentralized finance – it can be traded on Solana DEXes, used as liquidity or collateral, and generally composed with other DeFi building blocks. In fact, the tokenization of Kalshi's markets has turned them into "programmable" assets, accessible to any developer in the Solana ecosystem and enabling things like cross-platform arbitrage and DeFi integrations that were previously impossible in traditional settings.

In summary, the future of prediction markets is one of modularity and synergy. The base layer (Polymarket, Kalshi, and others) provides liquid markets and reliable odds, while an emerging second layer adds creativity and flexibility – from hedging instruments to composite bets and attention-based derivatives. This layered approach could dramatically expand the utility and appeal of prediction markets: traders gain new ways to manage risk (hedging real-world exposures or portfolio bets), speculators get more complex products to express nuanced views, and the market as a whole moves closer to mainstream finance in its sophistication. As these layers develop, prediction markets might evolve into a full-fledged ecosystem of forecast-based instruments, where anything from public sentiment to cross-platform arbitrage becomes tradable

tagging the ones who might be interested in this piece:

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